

Managing in a Global Environment

MGTS F211: Principles of Management

What's Your Global Perspective?

- **Parochialism**

- Is viewing the world solely through one's own eyes and perspectives.
- Is not recognizing that others have different ways of living and working.
- Is a significant obstacle for managers working in a global business world.
- Is falling into the trap of ignoring others' values and customs and rigidly applying an attitude of "ours is better than theirs" to foreign cultures.

Adopting a Global Perspective

The three possible global attitudes are:

- **Ethnocentric Attitude**

- The parochialistic belief that the best work approaches and practices are those of the **home** country.

- **Polycentric Attitude**

- The view that the managers in the **host** country know the best work approaches and practices for running their business.

- **Geocentric Attitude**

- A **world-oriented** view that focuses on using the best approaches and people from around the globe.

Different Types of International Organizations

- **Multinational Corporation (MNC)**

- Any type of international company that maintains operations in multiple countries.

- **Multidomestic Corporation**

- Is an MNC that **decentralizes** management and other decisions to the local country.

- **Global Company**

- Is an MNC that **centralizes** its management and other decisions in the **home country**.

- **Transnational Corporation (Borderless Organization)**

- Is an MNC that has **eliminated structural divisions** that impose artificial geographic barriers and is organized along business lines that reflect a geocentric attitude.

Managing in A Global Environment

- **The Political and Legal Environment**

- Stability or instability of legal and political systems
 - ❖ Legal procedures are established and followed
 - ❖ Fair and honest elections held on a regular basis
- Differences in the laws of various nations
 - ❖ Effects on business activities
 - ❖ Effects on delivery of products and services



The Economic Environment

- **Type of economic system**

- **Free market economy**

- ❖ An economy in which resources are primarily owned and controlled by the private sector.

- **Planned economy**

- ❖ An economy in which all economic decisions are planned by a central government.

- **Currency exchange rates**

- **Inflation rates**

- **Diverse tax policies**

The Cultural Environment

- **National Culture**
 - Is the values and attitudes shared by individuals from a specific country that shape their behavior and their beliefs about what is important.
 - May have more influence on an organization than the organization culture.

What Are Indians Like?

Indians are *very informal*.

Indians are *indirect*.

Indians view time as stretchable.

Indians have mostly external locus of control

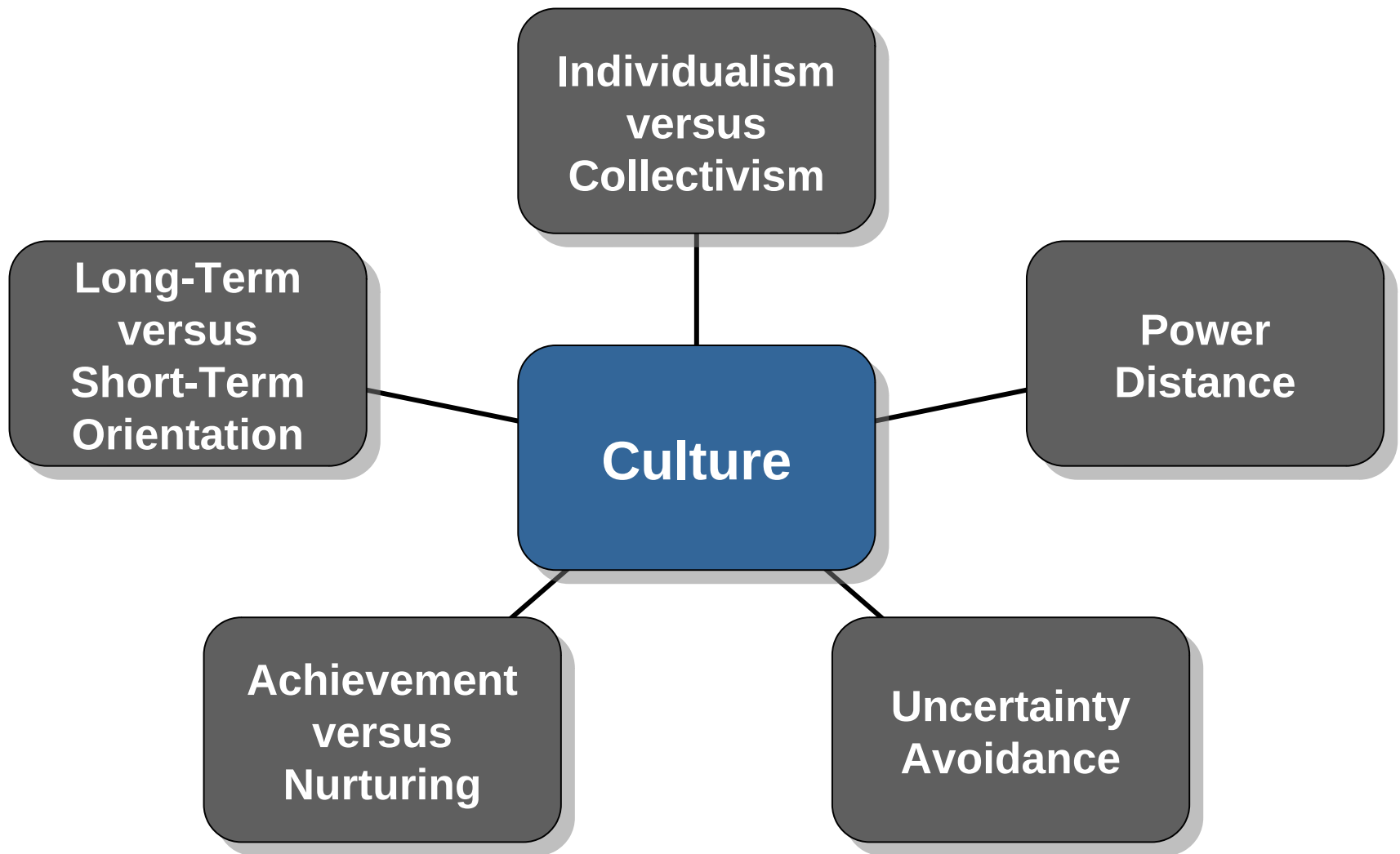
Indians are both collectivistic *and individualistic*.

Indians value relationship.

Indians are paternalistic.

Indians value “keeping of word”.

Hofstede's Framework for Assessing Cultures



Hofstede's Five Dimensions of National Culture

- (1) **Individualistic** — people look after their own and family interests
Collectivistic — people expect group to look after and protect them



- (2) **High power distance**—Accepts wide differences in power, great deal of respect for those in authority
Low power distance—Plays down inequalities: employees are not afraid to approach nor are in awe of the boss



Hofstede's Five Dimensions of National Culture

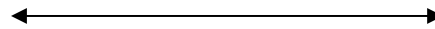
(3) **High uncertainty avoidance**—Threatened with ambiguity and experience high levels of anxiety

Low uncertainty avoidance— Comfortable with risks; tolerant of different behavior and opinions

High uncertainty avoidance

Italy, Mexico, France

Singapore



Low uncertainty avoidance

United Kingdom Canada, United States,

(4) **Achievement**—Values such as assertiveness, acquiring money and goods, and competition prevail

Nurturing—Values such as relationships and concern for others prevail

Achievement

**United States, Japan,
Sweden**

Mexico

Canada, Greece

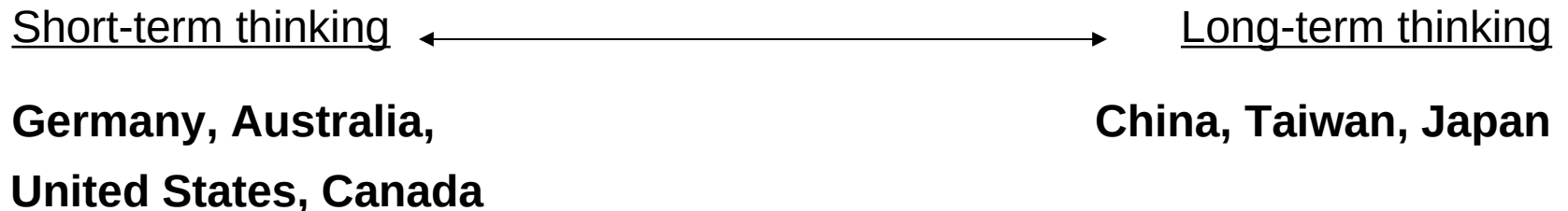
Nurturing

France,

Hofstede's Five Dimensions of National Culture

(5) **Long-term orientation**—People look to the future and value thrift and persistence

Short-term orientation — People value tradition and the past



Thank you